

Tesla

Watch for AI-driven execution milestones

8 May 2026

Company Overview

Tesla, Inc. designs, develops, manufactures, sells, and leases fully electric vehicles and energy-generation and storage systems, and offers services related to its products, such as leasing of electric vehicles and sales of automotive regulatory credits. Its automotive products include the Model 3, Model Y, Model S, and Model X. Currently, the company produces its electric cars at gigafactories in the United States, Germany, and China.

Investment Overview

Leading EV manufacturer. Tesla is a leading global EV manufacturer, backed by its firm market leadership and healthy automotive margins. Tesla's leading share is backed by its economic MOAT in EV charging infrastructure and supercharger network, autonomous driving and other software (e.g., full self-driving aka FSD).

1Q26 adjusted diluted EPS a beat on higher ARPU. Tesla reported 1Q26 adjusted diluted EPS of USD0.41 (+52% y/y, -18% q/q), beating consensus by 8%, while revenue inked in at USD22.4bn (+16%y/y), in-line with consensus. The beat was driven by a positive surprise in gross profit margin of 21.1% (+4.8ppt y/y), 3.4ppt above estimates, supported by higher-than-expected average revenue per unit of USD43.6k (+5% vs estimates, +9% y/y) on favourable product mix impact.

Focus remains on repositioning Tesla for its next strategic chapter. 2026 is shaping up as an execution-heavy year, with Tesla's investment case increasingly dependent on autonomy, AI and new-product ramp-up rather than near-term earnings. For the quarter, management highlighted demand trends for Auto across EMEA, APAC and the U.S., the highest Q1 order backlog in more than two years, and plans to raise production volume, although battery pack capacity remains a key constraint. Margins are likely to stay under pressure from tariffs, high financing costs and elevated spending on AI related initiatives, including development costs in Robotaxi, Cybercab, Semi and Optimus, while CapEx is expected to exceed USD25bn this year.

Maintain HOLD with lower TP of USD400 (previous USD450 TP). Our TP is based on FY26 earnings, using a target PE of 180x (2SD above mean) (previous 200x at 2.5SD above historical mean). Tesla's pivot toward AI provides a long-term growth foundation, but near-term performance will remain sensitive to progress on AI-driven execution milestones.

Risks

Firstly, weaker-than-expected volume sales can lead to downside risks to Tesla's earnings, especially as EV competition heats up, noting rising competition and impressive EV sales growth from China OEM leaders such as BYD. Furthermore, the weakening macroeconomic environment in global/China markets can also pose headwinds to volume sales. Secondly, margin dilution remains as a risk to Tesla, especially amid the ongoing aggressive price cuts in the OEM industry.

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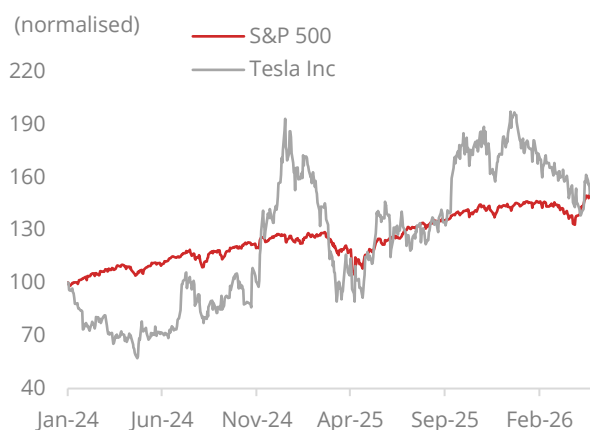
Key Financial Data

Bloomberg Ticker	TSLA US
Sector	Consumer Discretionary
Share Price (USD)	411.79
DBS Rating	HOLD
12-mth Target Price (USD)	400.0
Market Cap (USD\$b)	1,546.6
Volume (m shares)	64.3
Free float (%)	88.9
Dividend yield (%)	-
Net Debt to Equity (%)	-35.4
Fwd. P/E (x)	219.5
P/Book (x)	18.4
ROE (%)	4.9

Closing Price as of 7 May 2026

Source: Bloomberg, DBS

Indexed Share price vs Composite Index Performance



Source: Bloomberg

Financial Summary (USDmn)

FY Mar	FY2023(A)	FY2024(A)	FY2025(A)	FY2026(F)	FY2027(F)
Sales	96,773	97,690	94,827	103,084	117,844
% y/y	18.8	0.9	(2.9)	8.7	14.5
Gross Profit	18,401	18,226	17,964	20,152	23,347
% y/y	(14.2)	(1.0)	(1.4)	11.1	15.8
EBITDA	15,370	14,443	13,328	14,283	17,553
% y/y	(18.9)	(6.0)	(10.0)	16.8	23.3
Net Profit	10,882	7,999	5,858	6,755	8,397
% y/y	(23.0)	(26.9)	(30.7)	22.5	24.2
FCF	4,358	3,581	6,220	(8,875)	(3,963)
% y/y	(42.4)	(17.8)	73.5	(258.2)	(128.6)
CAPEX	8,898	11,342	8,527	24,250	21,640
% y/y	24.3	27.5	(24.8)	164.0	(8.8)
EBITDA Margin (%)	15.9	14.8	14.1	13.8	14.8
Net Margin (%)	11.2	8.2	6.2	6.5	7.1
ROA (%)	11.5	7.0	4.5	4.2	4.8
ROE (%)	19.9	11.6	7.5	7.0	7.8
Tax Rate (%)	(10.8)	19.2	23.4	23.1	23.0

Source: Company, DBS

Valuation Metrics

FY Mar	FY2023(A)	FY2024(A)	FY2025(A)	FY2026(F)	FY2027(F)
P/E (x)	116.2	160.2	219.5	196.6	165.7
P/B (x)	22.2	19.1	17.1	16.2	15.1
Dividend Yield (%)	0.00	0.00	0.00	0.00	0.00
EV/EBITDA (x)	92.9	98.8	107.1	93.4	77.1
FCF Yield (%)	0.3	0.3	0.4	(0.6)	(0.3)

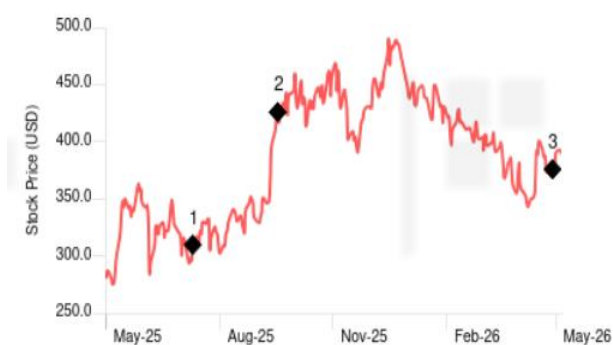
Source: Company, DBS

Credit & Cashflow Metrics

FY Mar	FY2023(A)	FY2024(A)	FY2025(A)	FY2026(F)	FY2027(F)
Debt / Equity (%)	8.2	11.1	10.1	10.6	9.5
Net Debt / Equity (x)	(0.4)	(0.4)	(0.4)	(0.3)	(0.2)
Debt / Assets (%)	4.9	6.7	6.1	6.3	5.8
Net Debt / Assets (x)	(0.2)	(0.2)	(0.3)	(0.2)	(0.1)
EBITDA / Int Exp (%)	98.5	41.3	38.7	37.9	46.0
ST Debt / Total Debt (x)	0.5	0.3	0.2	0.2	0.2
Debt / EBITDA (x)	0.3	0.6	0.7	0.7	0.6
[Cash + CFO] / ST Debt (%)	17.8	21.2	35.9	24.4	27.1
Receivables Days	13.2	16.5	17.6	17.1	17.6
Days Payable	54.4	46.6	51.5	55.0	55.0
Inventory Days	51.4	44.9	47.7	48.8	48.4

Source: Company, DBS

Target Price & Ratings History



S.No.	Date of Report	Closing Price	12-mth Target Price	Rating
1	10 Jul'25	295.9	300.0	HOLD
2	17 Sep'25	421.6	450.0	HOLD
3	28 Apr'26	378.7	400.0	HOLD

Source: DBS

Analyst: Elizabeth Pang

DBS Group Research recommendations are based on an Absolute Total Return* Rating system, defined as follows:

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BUY (>15% total return over the next 12 months for small caps, >10% for large caps)

HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)

FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)

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*Share price appreciation + dividends

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